



CHAPTER 67.

An Act to make further provision with respect to the Metropolitan Common Poor Fund and with respect to rating and to the finance of certain Local and Public Authorities. A.D. 1921.

[10th November 1921.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) Subsection (3) of section one of the Metropolitan Poor Amendment Act, 1870 (which relates to repayments out of the Metropolitan Common Poor Fund in respect of the maintenance of paupers in workhouses or asylums), shall, as respects the half-year current at the passing of this Act and any subsequent half-year ending before the expiration of this section, have effect as though the words “at the rate of one shilling and three-pence per day” were substituted for the words “at the rate of fivepence per day”.

Temporary extension of charges on the Metropolitan Poor Fund.

33 & 34
Vict. c. 18.

(2) In respect of the same half years there shall be included amongst the expenses to be repaid out of the Metropolitan Common Poor Fund the expenses incurred in respect of out-door relief, so however that no repayment shall be made in respect of relief granted in excess of such scale or in contravention of such conditions as shall be prescribed by regulations of the Minister of Health. Such scale and regulations shall be laid before both Houses of Parliament.

A.D. 1921.

The power of the Minister of Health to make such regulations shall be in addition to and not in derogation of any other powers possessed by him of making rules, orders, or regulations respecting the grant of out-door relief.

(3) Where the Minister of Health is satisfied that proper investigation has not been made within a reasonable time of the granting of out-door relief, no repayment shall be made in respect of that relief.

(4) This section shall continue in force until the thirty-first day of December, nineteen hundred and twenty-two, and no longer, but the expiration of this section shall not affect any liability to make contributions or right to be repaid expenses in respect of any half-year ending before such expiration.

Power to
appoint
receiver
where metro-
politan
borough
council fails
to meet
precept.

2.—(1) Where, in pursuance of a precept issued by an authority either before or after the passing of this Act, any sum is payable, directly or indirectly, by the council of a metropolitan borough to that authority, and the Minister of Health is satisfied that the council have refused or neglected to raise the amount by a rate, or that, having raised the amount by a rate, the council have refused or neglected to pay the amount due under the precept, the Minister may issue a certificate to that effect, and thereupon the authority shall have the like power of applying for the appointment of a receiver, and a receiver may, upon such application, be appointed in like manner and, when appointed, have the like power as if the authority were a secured creditor of the council for the sum due under the precept with interest thereon at the rate of six per centum per annum from the date when the amount became payable under the precept, and that sum and interest were due under a security issued under the Local Loans Act, 1875, charging the same on the rates leviable by and on all other property of the council, and the conditions under which a receiver may, in such a case, be appointed under section twelve of that Act were fulfilled, and that section shall apply accordingly:

38 & 39
Vict. c. 83.

Provided that the application may be made by the Minister instead of by the authority if the Minister thinks fit.

(2) Where an authority have issued a precept to a board of guardians in the administrative county of

London and the Minister is satisfied that the board of guardians have failed to include the amount of the precept in any precept issued by them to a metropolitan borough council, the Minister may, by order, cancel the precept to the guardians and authorise the authority to issue a precept to the council for the amount due under the precept to the guardians, and in that case the amount specified in the precept to the council shall become payable to the authority in the same manner as it would have become payable to the guardians if the precept had been issued by them. A.D. 1921.

(3) The power of the receiver appointed under this section to levy a rate may be exercised, notwithstanding that the expenses of the authority to meet which the rate is made were incurred in a period prior to that in which the rate is made, and notwithstanding that the council may have already made and levied a rate for such expenses.

(4) Where, in pursuance of a precept issued by an authority either before or after the passing of this Act, any sum is payable, directly or indirectly, by the council of a metropolitan borough to that authority, the authority may set off any sum payable to the council by the authority against the sum payable by the council in pursuance of the precept, without prejudice to proceedings for the recovery of the balance (if any) of the last-named sum under the provisions of this section.

(5) For the purposes of this section—

the expression “authority” means any body or person having power to issue a precept payable either directly or indirectly out of the general rate leviable by a metropolitan borough council;

the expression “precept” includes a warrant or contribution order.

(6) The powers conferred by this section shall be in addition to and not in derogation of any other powers of enforcing compliance with a precept issued by an authority.

3.—(1) A local authority may from time to time, for the purpose of providing temporarily for any current expenses that may be incurred by them in the execution or performance of any of their powers and duties (including the payment of sums due by them to meet the

Borrowing
on short
term loans
by local
authorities.

A.D. 1921. expenses of other authorities), with the consent of the Minister of Health, borrow by way of temporary loan or overdraft from any bank or otherwise, such sums as they may from time to time resolve, not exceeding in the aggregate at any time such amount as may be sanctioned by the Minister of Health.

(2) Any amount borrowed under this section shall be charged on the funds, properties, rates and revenues of the local authority *pari passu* with all other mortgages, stock, and other securities affecting the same.

(3) All sums borrowed by a local authority under this section together with the interest thereon shall be repaid out of the revenue of the local authority received in respect of the financial year in which the expenses were incurred :

Provided that, as respects money borrowed under this section before the first day of April, nineteen hundred and twenty-three, the Minister may, if satisfied that the particular circumstances of the case justify such a course, extend the term within which such repayment is to be made for a period not exceeding ten years from the date on which the money is borrowed.

(4) Where money is borrowed under this section for the purpose of defraying any expenses repayable out of the Metropolitan Common Poor Fund, or for the purpose of meeting any precept of the Minister of Health issued under the enactments relating to that fund, the amount of any interest paid on the sums so borrowed shall be repaid out of the Metropolitan Common Poor Fund.

(5) The powers conferred by this section on any local authority shall be in addition to and not in derogation of any other powers of borrowing exercisable by the authority.

Power to suspend sinking fund payments, &c., in case of money borrowed for revenue-producing works.

4. Where money is borrowed by a local authority for the purpose of the construction of new or extension or alteration of existing works forming or to form part of an undertaking of a revenue-producing character, then, notwithstanding anything to the contrary contained in any Act, it shall be lawful for the annual provision required to be made by the local authority for the repayment of the money so borrowed to be suspended while the expenditure out of that money remains unremunerative for such period and subject to such conditions as the

Minister of Health or other authority by whom the borrowing is sanctioned may determine. Provided that such suspension shall not be for a longer period than five years from the commencement of the financial year next after that in which such expenditure commences to be incurred.

A.D. 1924

5.—(1) Where any local authority owing to circumstances arising out of the war have been unable to make the required provision by means of a sinking fund or otherwise for the due discharge of any loan, the authority may submit to the Minister of Health a scheme varying any statutory provision requiring the loan to be discharged within any particular time or in any particular manner, and the Minister may, if he thinks fit, approve any such scheme either with or without modifications.

Modification
of provisions
for repay-
ment of ...
loans.

(2) Any scheme approved by the Minister under this section shall have effect as if enacted in this Act.

(3) Provided that nothing in any scheme shall in any manner prejudice or affect the security, rights, or remedies of any mortgagee or other person from whom the loan was raised.

6.—(1) Any money borrowed by a local authority before the first day of April, nineteen hundred and twenty-three, if certified by the Minister of Health to have been borrowed for the purpose of any work undertaken by the authority with a view to the provision of employment for unemployed persons, and any money borrowed under the provisions of this Act for the purpose of providing temporarily for current expenses, shall not be reckoned as part of the debt of the local authority for the purposes of any enactment limiting the powers of borrowing by that authority.

Relaxation
of limit of
borrowing
powers of
local autho-
rities in cer-
tain cases.

(2) Until the first day of April, nineteen hundred and twenty-three, subsection (3) of section two hundred and thirty-four of the Public Health Act, 1875 (which prohibits the Minister of Health from sanctioning a loan in certain cases until one of his inspectors has held a local inquiry and reported to the Minister), shall cease to have effect.

38 & 39
Vict. c. 55.

7. For the purposes of this Act, "local authority" means the council of any borough and any authority whose accounts are subject to audit by district auditors.

Definition
of local
authority.

- A.D. 1921. 8.—(1) This Act shall not apply to Scotland.
- Extent. (2) This Act shall apply to Ireland, subject to the following modifications:—
- 41 & 42
Vict. c. 52. (a) A reference to the Local Government Board for Ireland shall be substituted for any reference to the Minister of Health or the Minister, and a reference to section two hundred and thirty-eight of the Public Health (Ireland) Act, 1878, shall be substituted for the reference to section two hundred and thirty-four of the Public Health Act, 1875;
- 10 & 11
Geo. 5. c. 67. (b) “Local authority” shall mean the council of any county, county borough or county district, and the board of guardians of any union;
- (c) For the purposes of section six of the Government of Ireland Act, 1920, this Act shall be deemed to be an Act passed before the appointed day.
- Short title. 9. This Act may be cited as the Local Authorities (Financial Provisions) Act, 1921.

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